ASSESSING GEOPOLITICAL ACTORS AND RISK

Learning Outcome

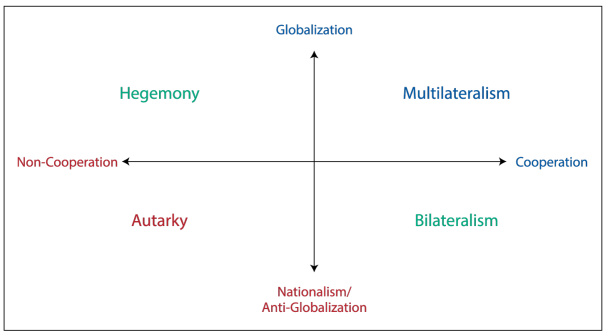
- describe geopolitical risk

Using the two axes we have discussed—political cooperation versus non-cooperation and globalization versus nationalism—investment analysts can assess geopolitical actors and the likelihood of threat to investment outcomes. Where countries stand in that balance shapes their standing compared with other geopolitical actors, the tools of geopolitics they can use, and the threats and opportunities they face. This lesson provides a framework for analyzing a country's geopolitical risk.

Archetypes of Country Behavior

The framework, using the two axes, shown in Exhibit 7 presents four archetypes of country behavior: **autarky**, **hegemony**, **multilateralism**, and **bilateralism**. Each archetype has its own costs, benefits, and trade-offs with respect to geopolitical risk. In general terms, regions, countries, and industries that are more dependent on cross-border goods and capital flows will have growth rates and investment returns that benefit from greater global cooperation. The interdependent nature of their activities may reduce the likelihood that collaborative countries levy economic, financial, or political attacks on one another. That same interdependence often makes cooperative actors more vulnerable to geopolitical risk than those less dependent on cooperation and trade. Diversifying the means of production provides some shield against risk but also provides more touchpoints by which risk can occur. In the remainder of the section, we describe the costs and benefits of each archetype, with some examples of each.

Exhibit 7: Archetypes of Globalization and Cooperation



Note that each of the axes explored in this framework—cooperation versus non-cooperation and globalization versus nationalism—represent a spectrum. Rarely do countries represent full extremes of either of these factors. As you can see from the examples provided, a country's place within the framework can be a moving target. As such, the examples provided in no way represent a value judgment of a country's goals or approach.

For geopolitical risk analysis, it matters not only which quadrant a country falls in today but also its stability within that quadrant. A hegemon that is working to build more political cooperation may be less of a threat to investment results than a multilateral actor trying to break them.

The "America first" example given in the section "Threats of Rollback of Globalization" is highly relevant. Adjusting previously agreed-upon rules may be in a country's national interest, but inconsistent application of those rules presents a risk for companies and economic growth. Investors must be aware of actors' movement within the framework to assess the likelihood and impact of geopolitical risk more appropriately.

EXAMPLE 6

Geopolitical Risk Analysis

1. True or false: The relative permanence of geographic factors implies a fundamental stability in geopolitical risk analysis of the involved parties.

   Explain your selection.

   A. True
   B. False

   Hide Solution

   Solution:

Geopolitical actors face a delicate balance between harnessing the potential intrinsic and profit gains from globalization while managing the many and sometimes unforeseen consequences. Further complicating the picture is the intricate connection between globalization and cooperation. A country's place within the globalization and cooperation framework can be a moving target, and for geopolitical risk analysis, it matters not only which quadrant a company falls in today but also its stability within that quadrant.

Autarky

Autarky describes countries seeking political self-sufficiency with little or no external trade or finance. State-owned enterprises control strategic domestic industries. The self-sufficiency of autarkic countries allows them to be stronger politically, including the ability to exercise complete control over the supply of technology, goods, and services, as well as media and political messaging. In some cases, periods of autarky can provide a country with swifter economic and political development. For example, for much of the 20th century, China could have been described as autarkic, exercising very little political cooperation or globalization. However, China's autarkic stance resulted in substantial poverty alleviation and an eventual move toward more economic and financial cooperation. That said, an autarkic stance does not come without costs. In other cases, such as North Korea and the earlier example of Venezuela, autarky has resulted in a gradual loss of economic and political development within the country.

Hegemony

Hegemonic countries tend to be regional or even global leaders, and they use their political or economic influence of others to control resources. State-owned enterprises tend to control key export markets. A hegemonic system can provide valuable benefits both to the hegemonic countries and to the international system. For the country, economic and political dominance may provide important influence on global affairs. For the global system, countries aligning with the hegemon's rules and standards may enjoy the rewards provided by the leader, including the stabilizing force of monitoring and enforcing the hegemon's standards. That said, there may be costs to hegemonic systems. As hegemons gain or lose influence in the international system, they may become more competitive, increasing the likelihood of geopolitical risk.

China and Technology Transfer

In 2011, China overtook Japan as the world's second largest economy. Having joined the World Trade Organization (WTO) in 2001, China's economy had globalized meaningfully. At the same time, the importance of China's economy gave it important influence on the rules of play in the international stage. One area where China has exerted its political influence is in technology transfer. For many years, China's stance was, in order to integrate into the Chinese production machine, including access to a skilled and plentiful labor supply, some companies would be required to transfer their technology ideas and processes to Chinese partners. For a smaller or less important economy, these rules might be difficult to enforce, but China's size and importance made it possible. These policies may have some globalizing effects. By having Chinese companies adopt more international technological ideas and rules, they become more globalized in their approach. At the same time, they can also create investment risks. If China were to become more restrictive, it could disrupt global supply chains and increase costs for global companies.

Russia and Gas Disputes

Russia's economy, and particularly its oil sector, is well-integrated into global supply chains. However, the country is also largely politically autonomous, which can contribute to geopolitical risk and uncertainty. For example, Russia's control of important natural gas pipelines gives it significant political leverage over other countries, particularly those in Europe that rely on it for fossil fuels. As a result, European countries may be less likely to confront Russia in other areas. Between February and March 2014, Russia annexed Crimea, Ukraine. Other countries condemned the annexation and considered it to be a violation of international law, including such previously politically cooperative agreements as the 1991 Belavezha Accords that established the Commonwealth of Independent States. Still, the annexation continues, in part because many countries are unwilling to disrupt an important economic relationship.

In addition to political uncertainty, the annexation contributed to important economic and market developments affecting investors. In the immediate aftermath of the annexation, the Russian ruble depreciated significantly, contributing to higher market volatility and inflation. Other significant economic impacts followed. For example, countries, including Canada, the United States, and European Union member states, imposed sanctions on Russian officials. Ukraine responded to the annexation by cutting off water to the area, contributing to crop failure.

Multilateralism

Singapore as Multilateral Actor

Singapore is ranked as the most open economy in the world by the World Economic Forum, the third least corrupt by Transparency International, and the second most pro-business by the World Bank Doing Business Report. It has low tax rates and the second highest per capita GDP in terms of purchasing power of its citizens. The results are shown In Exhibit 8.

Exhibit 8: Select Global Data

	World Bank Ease of Doing Business Rank (2019)	Corruption Perceptions Index Rank (2020)	Corporate Tax Rate (2021)	GDP (per capita, in international dollars, 2021)
Singapore	2	3	17.00%	95,650
United States	6	25	21.00%	63,594
Germany	22	9	30.00%	53,024
Australia	18	11	30.00%	51,102
United Kingdom	8	11	19.00%	43,839
Japan	29	19	30.60%	41,507
Mexico	60	124	30.00%	18,867
China	31	78	25.00%	17,624
Brazil	124	94	34.00%	14,563
South Africa	82	69	28.00%	11,582
Philippines	95	115	30.00%	8,436

Sources: World Bank (doingbusiness.org), Transparency International (transparency.org), KPMG, International Monetary Fund (imf.org).

What is behind these impressive statistics? For starters, Singapore's factor endowment makes it highly dependent on cooperation and innovation to survive. The country has limited natural resources, including water and arable land, which means the country must rely on agrotechnology parks and reclaimed land for agricultural production as well as trade partners for the inputs to that production.

Geographic factors also contribute to Singapore's economic openness. The country is located at the intersection of many important global trade routes. Its population is highly ethnically and racially diverse, allowing for English as a key language for global business. In addition, its workforce is highly skilled, giving Singapore an important role as a center for trade and innovation throughout Asia.

Politically, Singapore has highly stable institutions. The government is strategically involved in its economic system to allow for consistent prioritization of economic activity and enforcement of business-friendly institutional governance. Singapore's openness has contributed to its attractiveness as a potential partner.

As a result of its location and factor endowments, Singapore is both capable of and highly dependent on international cooperation for its economic growth. The country generates higher economic growth rates because of this greater global cooperation. However, that same cooperation may leave Singapore more vulnerable to geopolitical risk than those countries that are less dependent on cooperation and trade.

EXAMPLE 7

Key Globalization Factors

1. Identify at least two of the factors accounting for Singapore's reliance on globalization to achieve economic success.

Hide Solution

Solution:

First, Singapore's factor endowment of limited natural resources makes it dependent on cooperation and innovation to survive.

Second, Singapore's geographic location at the intersection of multiple important global trade routes helps make it an Asian center for world business.

Third, culturally it has a highly ethnically and racially diverse population fluent in the key global business language of English, enhancing its collaborative capabilities.

Bilateralism

Bilateralism is the conduct of political, economic, financial, or cultural cooperation between two countries. Countries engaging in bilateralism may have relations with many different countries, but they are one-at-a-time agreements without multiple partners. Typically, countries exist on a spectrum between bilateralism and multilateralism. In between the two extremes is **regionalism**, in which a group of countries cooperate with one another. Both bilateralism and regionalism can be conducted at the exclusion of other groups. For example, regional blocs may agree to provide trade benefits to one another and increase barriers for those outside of that group.

It is noteworthy that relatively few countries perfectly fit the bilateral mold. Moving toward stronger political cooperation tends to lead organically to globalization; it is common for non-state actors to globalize as long as the path is laid for them. Additionally, innovations, such as the internet and digital transfer, have made it even easier for firms to globalize.

Bilateralism once nicely described Japan; its government engaged in substantial political cooperation for the sake of building a strong export market, but it did not globalize its imports. That said, as the importance of international capital markets has deepened, Japan has been a pioneer of globalizing its equity and bond markets for international players. Today it would be considered a multilateral player.

Question Set

1. For the following contrasting pairs of archetypes of globalization and cooperation, which one reflects the *greatest* differences in country behavior?

A. Bilateralism versus autarky
B. Multilateralism versus autarky
C. Multilateralism versus hegemony

Hide Solution

Solution:

B is correct. Multilateralism describes countries that participate in mutually beneficial trade relationships and extensive rules harmonization. Autarky describes countries seeking political self-sufficiency with little or no external trade or finance. In the Exhibit 7 display of these behavior patterns, these choices are most widely separated on both the globalization and cooperation continuums. A is incorrect because bilateral or regional approaches describe those countries leveraging regional trade relationships and may face the world as a group. Bilateralism shares with autarky a bias against globalization. These approaches diverge, however, regarding cooperation, with autarky being more non-cooperative. C is incorrect because multilateralism describes countries that participate in mutually beneficial trade relationships and extensive rules harmonization. Hegemony represents countries exerting political or economic influence of others to control resources. Multilateralism shares with hegemony an inclination toward globalization, as shown in Exhibit 7, but diverges from hegemony regarding cooperation; hegemony is more non-cooperative.

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